

Gillette and the Razor-and-Blades Strategy

A Psychological Perspective on Consumer Loyalty

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1 Introduction

The “Razor and Blades” pricing model is considered one of the most profitable business models in the history of economics. It offers a sustainable product at a relatively low price while ensuring recurring profits through high-margin consumables. Said model was popularized by King C. Gillette in the early 20th century, and since then has been replicated across industries, from printers and ink cartridges to coffee machines and coffee capsules in order to keep the consumers in an ongoing purchase cycle.

Although the model itself is commonly explained from an economic and marketing perspective, its effectiveness also relies on certain psychological mechanisms. Understanding these particular mechanisms is crucial for ensuring fair market practices. This essay explores three fundamental questions: (1) Why do consumers remain loyal to a brand despite cheaper alternatives? (2) How does perceived investment affect brand loyalty? (3) Can psychological interventions disrupt the purchasing cycle?

2 Why Do Consumers Remain Loyal to a Brand Despite Cheaper Alternatives?

Oliver (2010) defined **customer loyalty** as “a deeply held commitment to repurchase or repatronize a preferred product or service consistently in the future, despite situational influences and marketing efforts having the potential to cause switching behavior” This means that consumers tend to perceive brand switching as an act of abandoning trust and reliability, and rather than prioritizing the potential financial benefits of saving, they tend to develop emotional attachments to particular products or services.

Status quo bias can be said to be considered a similar concept. It was investigated by Samuelson and Zeckhauser (1988) in a study which demonstrated that individuals express a preference for maintaining their current

situation, even when much better alternatives exist. This trend is particularly evident in markets characterized by habit formation and purchases, such as those for shaving or coffee consumption. In practice, it shows that when people change their routines, they often feel as if they have deviated from the norm.

Moreover, the **perceived switching costs** play a crucial role. Burnham, Frels, and Mahajan (2003) identified three types of switching costs: financial, procedural, and relational. In the case of the razor-and-blade model, these include the cost of purchasing a new handle, the need to learn how to use the new product, and the disruption of established consumption habits. Even if competitors offer lower-priced alternatives, psychological barriers reduce consumers' willingness to change.

3 How Does Perceived Investment Affect Brand Loyalty?

Another psychological force that reinforces the razor-and-blades model is the **sunk cost effect**. Arkes and Blumer (1985) demonstrated that prior investments remarkably increase the likelihood of continued use and engagement with a product or a service, even when doing so is irrational from an economic perspective. Once a consumer has purchased a razor handle, the idea of getting rid of it and using a competitor's brand instead feels like throwing money down the drain.

This concept is additionally highlighted by Thaler's (1980) **mental accounting**, in which past spendings are categorized in the consumer's mind and used to justify subsequent decisions. For instance, consumers subconsciously classify razor handle purchase as a "fixed investment" which justifies future blade purchases as a compulsory continuation rather than a distinct expense. Consequently, consumers often underestimate the cumulative cost of being trapped in the purchasing cycle.

3.1 Numerical Example: Gillette

Assuming that a consumer purchases a Gillette razor handle for only \$5 (often heavily discounted), each blade cartridge costs \$3, and the consumer replaces the blades twice a month will result in the following.

$$\text{Annual expenditure on blades} = 3 \times 24 = \$72$$

Over five years, the consumer spends:

$$72 \times 5 = \$360$$

Therefore, although the initial purchase was minimal, the long-term cost exceeds the entry price by far. From a psychological perspective, the consumer rationalizes these purchases because the initial \$5 investment creates a perceived need to "make it beneficial and useful".

4 Can Psychological Interventions Disrupt the Purchasing Cycle?

Even though the razor-and-blade model might seem to be sturdy and resistant to interference, research proved that psychological interventions have the power to impact consumer behavior. This can be explained by **opportunity costs** mentioned in Frederick, Novemsky, Wang, Dhar, and Nowlis' (2009) study. Making the purchase cost of products explicit helps consumers compare and make choices more rationally. For example, framing the cost of a pack of razor blades in terms of alternative purchases (e.g., a book) increases awareness of hidden expenditures.

This was also demonstrated by Shafir, Simonson, and Tversky (1993) who provided empirical evidence as to how comparative choice framing reduces

default-driven decisions. When consumers are presented with side-by-side comparisons, they are more likely to question habitual purchases. Furthermore, Johnson, Bellman, and Lohse's (2012) study indicated that lowering **switching friction**, by offering similar solutions, transparent pricing, or return guarantees, encourages consumers to change brands.

5 Another Application: Nespresso and Coffee Capsules

The razor-and-blades model does not include shaving products only. Nespresso, an operating unit of Nestlé, has perfectly executed the strategy in the coffee industry. By selling relatively affordable coffee machines, Nespresso ensures that customers commit to the proprietary capsule system, thus effectively locking the consumers into the purchase cycle of buying said lucrative capsules.

For instance, a Nespresso machine may cost \$120, while each capsule costs around \$0.70. Assuming two coffees per day, yearly spending reaches:

$$0.70 \times 730 = \$511$$

Over five years, this amounts to more than \$2,500, which is more than 20 times the initial cost of the machine. Besides economics, the strength of this model lies in consumer psychology: the convenience of capsules, the prestige associated with the brand, and the reluctance to waste the initial investment.

6 Conclusion

The razor-and-blades model is considered highly effective and influential because not only does it exploit rational economic structures, but also irrational psychological tendencies that lock consumers into long-term purchasing com-

mitments. Yet, interventions that emphasize opportunity costs and reduce switching friction provide evidence that consumer behavior is malleable.

Additionally, by taking into account insights from psychology and behavioral economics, businesses can better understand the mechanisms underlying customer loyalty, while consumer advocates can create interventions to protect consumers from potentially exploitative practices.

7 References

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